CELLO

Jumbo Conforming Mortgage Rates

March 2017

Fannie Mae and Freddie Mac are prohibited from purchasing mortgages that have balances greater than a specific amount called the **conforming loan limit**.

The housing crisis of 2007-2009 resulted in temporary increases in loan limits so that the GSEs could support a broader range of residential mortgages, particularly the prime jumbo market.

Regulation passed in 2008 created a two-tier system of conforming loan limits – a **Baseline** and a **High-Cost** limit.

Mortgages that meet GSE underwriting guidelines and that have loan balances between the Baseline and a High-Cost limit are known as **jumbo-conforming mortgages**.

Baseline National Conforming Loan Limit

- Baseline loan limit is $424,100 (as of 2017)
- Adjusted annually using an HPI calculated by FHFA
- Prior house price declines must be fully offset before a loan limit is increased
- 3Q 2016 HPI was approximately 1.7% above price levels in Q3 2007

Loan Limits in High-Cost Areas

- Loan limits are a function of local-area median home values
- If 115% local median home value exceeds baseline loan limit, local loan limit = 115% of the median home value
- Cap is $636,150 (150% of $424,100)

Exceptions

- Baseline loan limits for Alaska, Hawaii, Guam and the U.S. Virgin Islands are set at 150% of the baseline limit for the contiguous United States
- Multifamily homes have higher loan limits

Securitization of jumbo conforming loans commenced in 2008 with the expansion of conforming loan limits. Jumbo conforming loans can currently be pooled into either TBAs (up to a maximum of 10%) or Specified Pools.

History

- Jumbo conforming mortgages can be pooled into TBAs (FNMA: CL, FHLMC: FGLMC) as of late-2008
- Can be pooled into Agency specified pools as of mid-2008 (FNMA: CK, FHLMC: T6)

Factors Affecting Jumbo Conforming Mortgage Rates

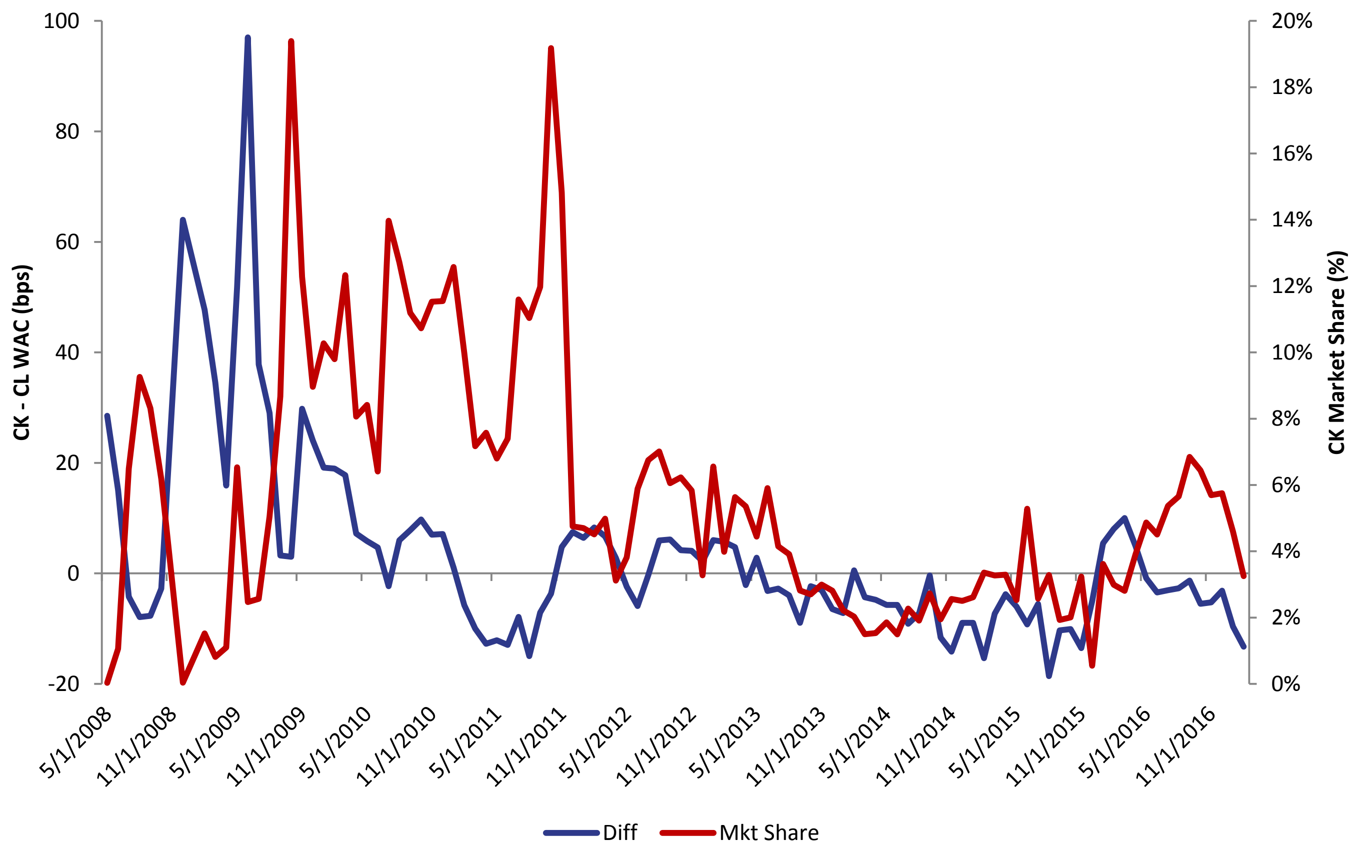
- Jumbo-conforming loans can be pooled into TBAs up to a maximum of 10% a pool. These loans are eligible for the same rate as a standard conforming borrower.
- Specified pools backed by Jumbo conforming mortgages trade about ~1 point behind TBAs (approximately 25bps in yield space)
- Jumbo-conforming loans have better credit characteristics than the standard conforming borrower.
- Jumbo-conforming loans are subject to a special LLPA charge that is specific to their loan size. This LLPA adjustment was introduced in September 2015 for purchase & cash-out mortgages. It corresponds to a price adjustment of 0.25%.

The spread between PMMS and Jumbo Conforming mortgage rates can be modeled as the difference between WACs on CK and CL pools.

The difference between these WACs has been negative since mid-2013 despite the fact that CK pools trade at a significant discount to TBAs.

The implication is that jumbo conforming mortgage rates are *lower* than conforming mortgage rates.

WAC DIFFERENCES: CK – CL POOLS
(May 2008 – December 2015)



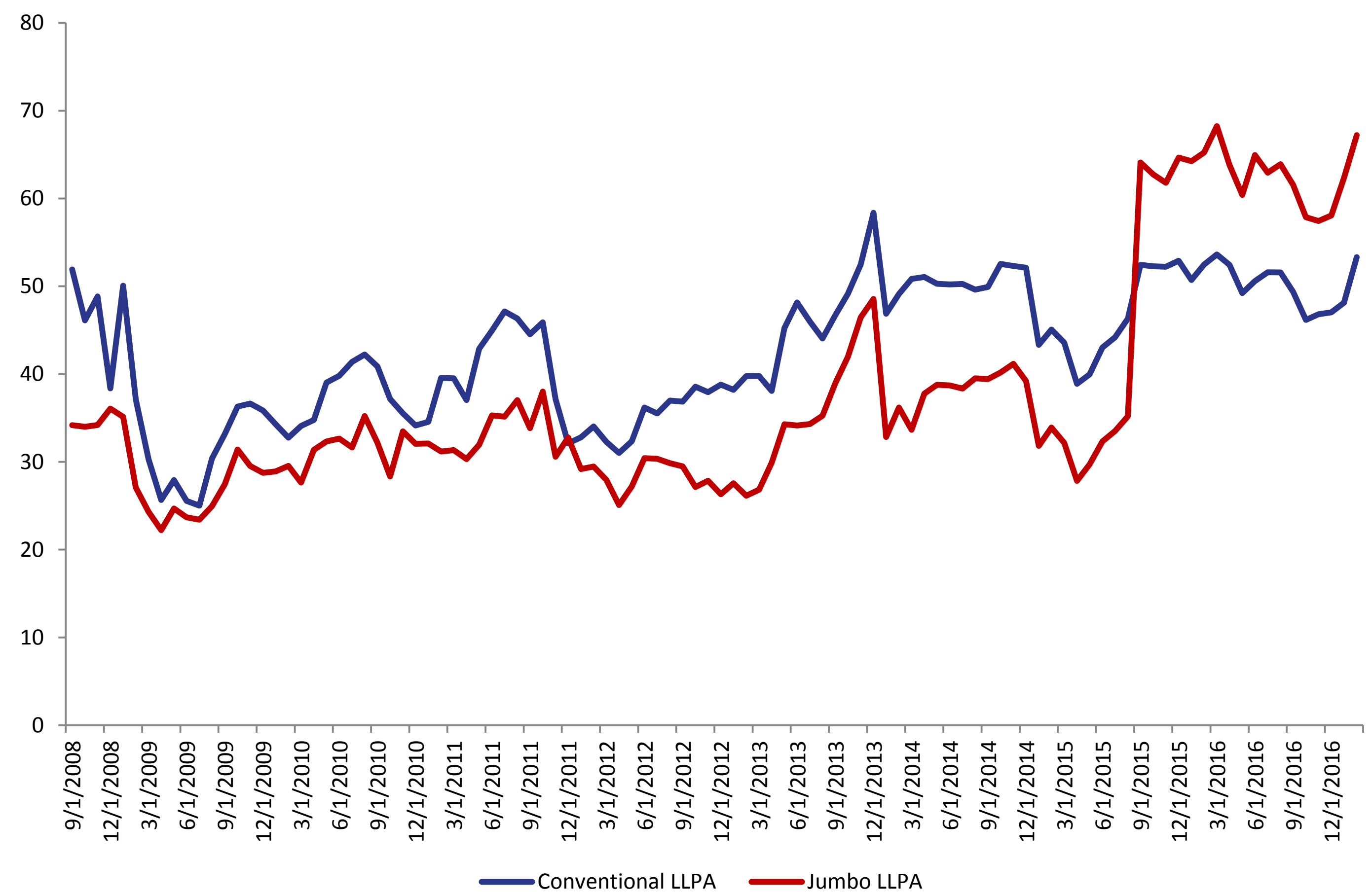
Source: Cello

We can proxy the difference in credit profiles for the average jumbo and conforming borrower by calculating the average LLPA (by month) for borrowers in CK and CL pools.

While the LLPA charges suggest that jumbo borrowers do indeed have superior credit characteristics, the LLPA differences are not large enough to account for why jumbo conforming mortgage rates are lower than conforming mortgage rates.

After 2015-09, there is an addition al LLPA adjustment for Loan Amount > $417,000.

LLPA PRICE DIFFERENCES: CK – CL POOLS
(July 2008 – December 2015)



Source: Cello

We hypothesize that originators are using TBA pricing to subsidize borrowers in CK and T6 pools. This would make economic sense if done in the context of building a broader banking relationship with high balance borrowers who tend to have higher net worth.

Given that the significant majority of all jumbo conforming issuance is being securitized in TBAs, the magnitude of the subsidy is significantly lower than the headline price discount that CK and T6 pools trade at.

TBA SHARE OF JUMBO CONFORMING ISSUANCE
(May 2008 – Jan 2017)

Source: Cello

The spread between conforming and Jumbo conforming mortgage rates can be modeled as the difference between WACs on pools with difference loan size.

The differentials are calculated by separating all loans in FNCL, FGLMC, FNCK and FGT6 pools into two groups: high balance loans (Loan size > $417K) and low balance loans (Loan size < $417K).

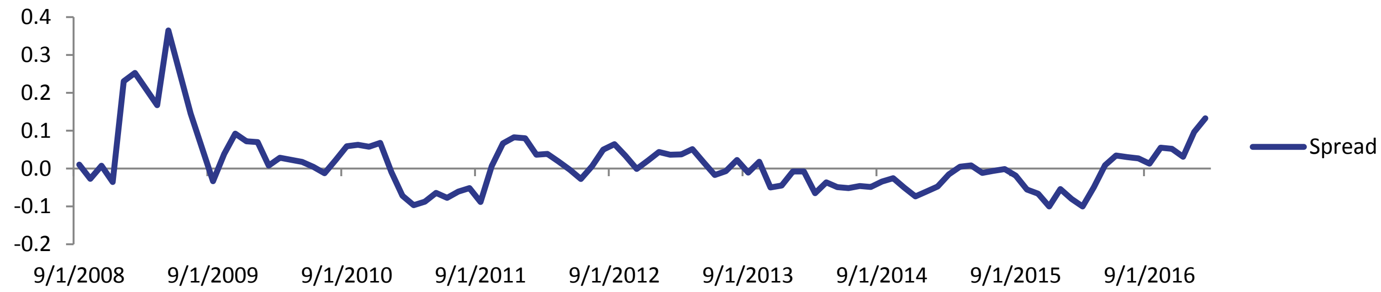
We also make the following assumptions to control for borrower credit:

- Number of units = 1
- Original LTV <= 80%

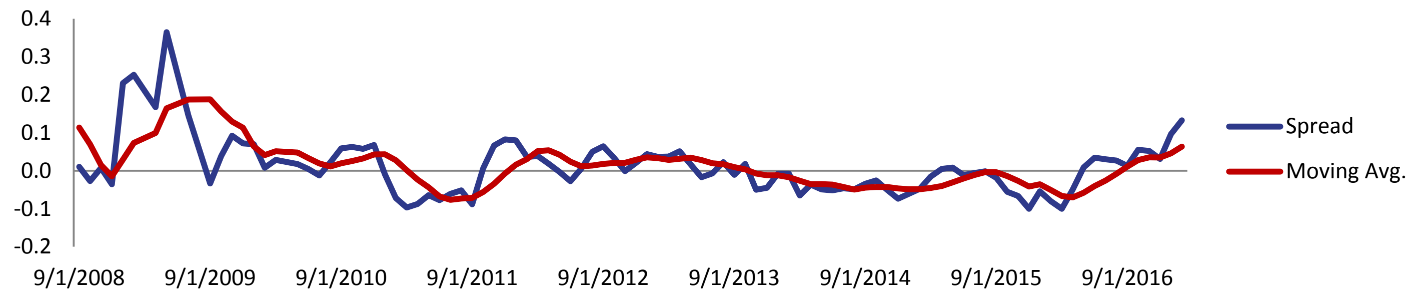
Jumbo mortgage rate is then calculated by adding the 6-month WAC spread onto PMMS rate.

The Jumbo rate and PMMS rate are fairly close to each other as the WAC spread is close to zero since 2010.

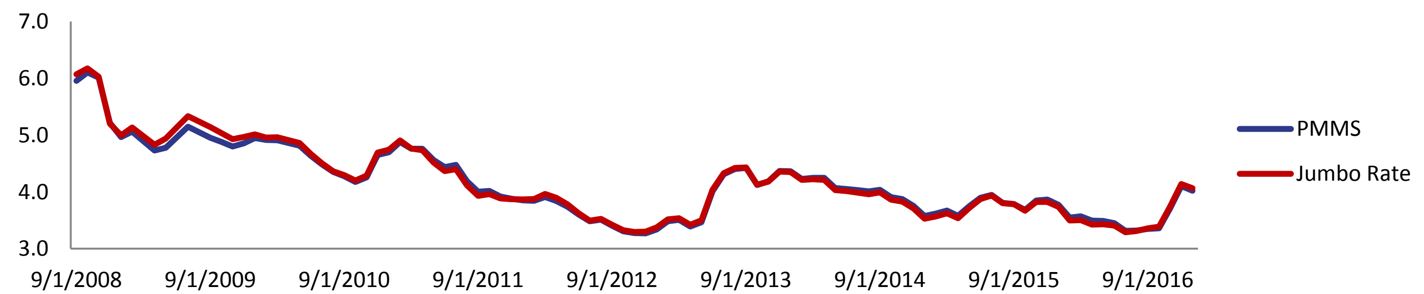
1 Get WAC spread between pools with loan size >= 417k and loan size < 417K



2 6-month moving average of WAC Spread



3 $Jumbo\ Mortgage\ Rate = PMMS + WAC\ Spread_{6m\ Moving\ Average}$



Source: Cello

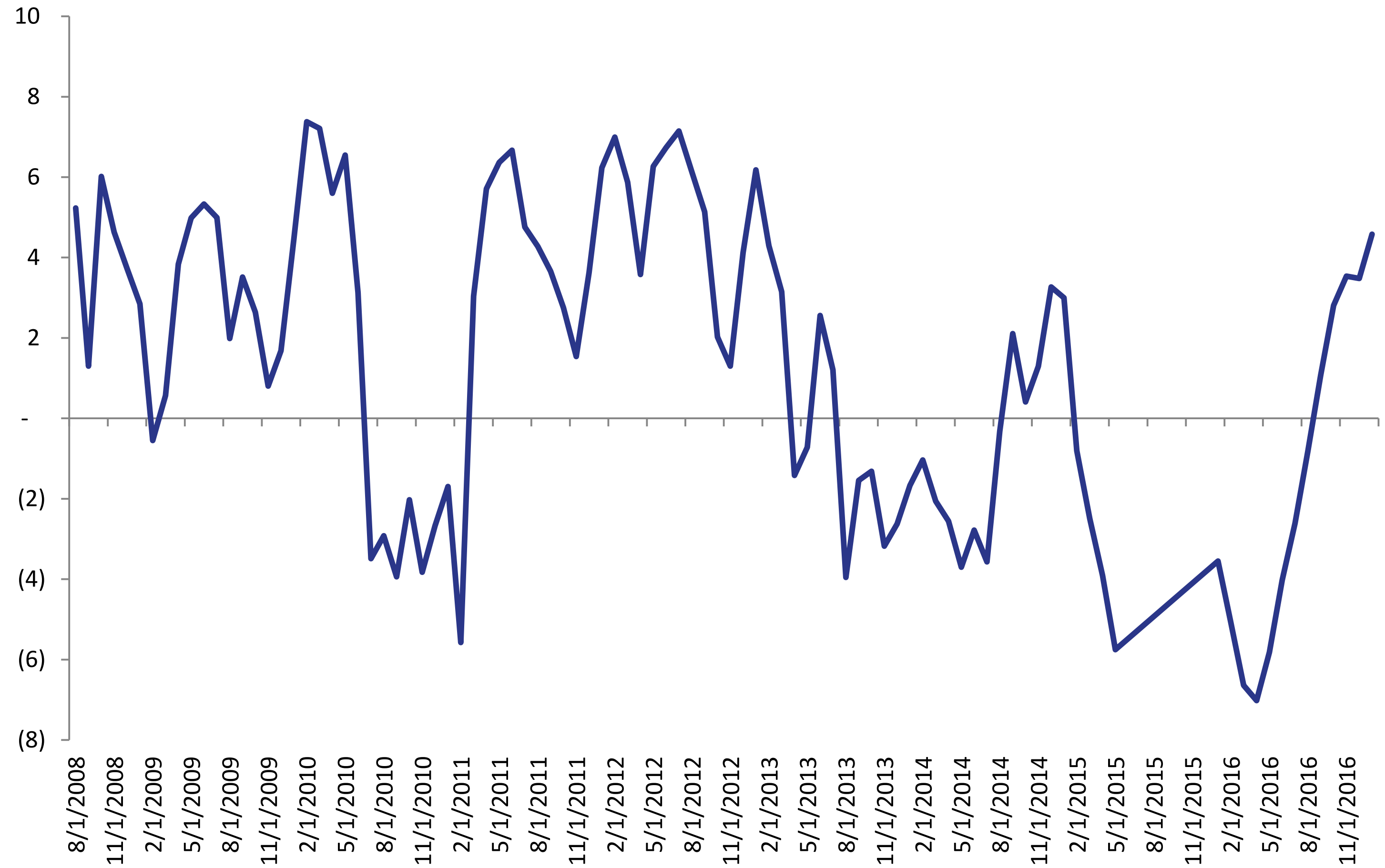
The difference between conforming and jumbo conforming rates is accentuated for high credit borrowers suggesting that mortgage rate model should also show some dependence on borrower credit.

The differentials are calculated by separating all loans in FNCL, FGLMC, FNCK and FGT6 pools into two groups: high balance loans (Loan size > $417K) and low balance loans (Loan size < $417K).

We also make the following assumptions to control for borrower credit:

- Number of units = 1
- Original LTV <= 80%
- FICO > 740

JUMBO CONFORMING AND CONFORMING RATE DIFFERENTIALS: CREDIT CONTROLLED
(July 2008 – January 2017)



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